



ETH

ERC20

VI

$$x*y=k$$

2 NOV 2018

UNISWAP LAUNCHES

049 / 02 NOV 2018 / ETHEREUM / LEGENDARY

LIQUIDITY, PAIRED.

On 2 November 2018, the final day of Devcon 4 in Prague, Hayden Adams announced Uniswap and deployed its exchange contracts to Ethereum mainnet. After more than a year of development, a small application was ready to let people swap assets through on-chain code.

Uniswap V1 paired each supported ERC20 token with ETH. An exchange contract held reserves of both assets, and traders swapped against those reserves rather than a conventional order book. Token-to-token trades could pass through ETH as an intermediate step. Anyone could create an exchange for a token through the factory contract.

Prices followed a constant-product market-making rule, commonly written $x*y=k$. Adding one asset in a swap removed some of the other, changing the reserve ratio and the next price. Larger trades moved that ratio further. The equation is a simplified swap relationship: trading fees increase the reserve product, and liquidity deposits or withdrawals also change it.

Liquidity providers supplied both assets, normally in the pool's current ratio, and received pool tokens recording their share. A 0.3% trading fee accumulated in the reserves for those providers. The unicorn in this scene pours into both chambers to suggest that paired contribution. These are two reserves of one illustrated pool, not two independent markets.

HISTROVE imagines the protocol as an enchanted exchange engine in a vaulted hall. Its unicorn operator is an invented character, not a portrait of Adams or an official logo. The V1 plate and launch-date engraving anchor the fantasy to 2018. UNI, the later governance token, arrived in September 2020; V1's liquidity-share tokens were a different thing.

DETAILS IN THE ART

01 THE PAIRED RESERVES

ETH and ERC20 label the two chambers. Together they represent one V1 exchange's paired reserves. Pouring into both suggests providing liquidity; a swap instead adds one asset and removes some of the other.

02 THE CONSTANT-PRODUCT PLATE

The $x*y=k$ engraving recalls the pricing rule. The reserve ratio changes as trades occur. Fees and liquidity changes affect the reserve product, so the inscription does not promise a fixed price or an unchanging k .

03 THE V1 BADGE

V1 identifies the original protocol generation. Its exchanges paired a token with ETH, and token-to-token swaps could route through ETH. The badge keeps the scene distinct from later Uniswap versions.

04 THE LAUNCH DATE

2 NOV 2018 marks the public launch on Ethereum mainnet during Devcon 4 in Prague. It is visible on the engine in the full artwork and repeated at the top of the framed card.

SOURCE & ART NOTE

Sources: Hayden Adams: A Short History of Uniswap; Uniswap V1: original overview; Uniswap V1: pool liquidity; Uniswap V1: exchange contract; Uniswap Labs: Introducing UNI. The unicorn, hall and machine are original allegory, not a historical scene, a technical diagram or an official Uniswap logo. LIQUIDITY, PAIRED. is the approved editorial caption describing the paired-reserve concept; it is not a historical quotation.